UNIVERSITY OF CAPE TOWN

Investment Decision Theory and Application ECO 4102Z

Weighting: 10%

1. Dr Aleck Matafeni has a general knowledge of financial markets and investments. Aleck recently lost his wife after a long battle with cancer which was further worsened by Covid-19 complications. He is considering settling his wife's estate. Dr. Matafeni has a controlling stake in a private company that has been doing very well, her wife was actively involved in the day to day activities of the company, further he owns one of the largest shipping and warehouse company in the Western Cape, a residential property in one of the top market suburbs in Cape Town, his other holdings include a portfolio of shares and fixed income assets. Following the death of his wife, he has decided to shed-off part of his holding in the private company, however he will be retaining the shipping and warehousing company, in full. Aleck plans to donate half of his proceeds, from the sale of his wife's holding in the private company, to the University of Cape Town (UCT) Covid-19 Research Foundation as an appreciation for the role played by the team during his wife's illness. It is now in October 2020 and the amount will be transferred in January 2021. You have been in contact with Aleck, and assisted him with the planning, valuation and building of his portfolio to appropriately restructure his investment plan.

   Dr. Matafeni has introduced you to the finance team of the UCT Covid-19 Research Foundation that is to receive his R500 million donation in January 2021. This is a huge contribution to the UCT Covid-19 Research Foundation, with a significant impact on the foundation's scale and operation and will enable it to award larger grants to students and researchers. Currently, the foundation's endowment is at R100 million, the donation will increase this to R600 million. The foundation's grant-making (spending) policy has been to pay out virtually all of its annual net investment income. Due to limited funding, the foundation has adopted a very conversative investment strategy; almost fully invested in fixed income assets. The UCT Covid-19 Research Foundation's Finance Team understands that this is the main cause for the decline in the real value of foundation assets and future grants. Until now, the finance team has believed there is no alternative to these actions, given the large immediate cash needs of the research programs being funded and the small size of the foundation's capital base. The foundation's annual grants must at least equal five percent of its assets' market value to maintain its South African tax-exempt status, a requirement that is expected to continue indefinitely. No further donation or fund-raising activities are expected over the foreseeable future. Given the change in circumstances that Dr Matafeni's donation will make, the finance team is considering reviewing its grant-making and investment policies.

   As part of the revision, annual spending must at least meet the level of five percent of market value required to maintain the foundation's tax-exempt status, but the finance team is unsure about how much higher than five percent this can or should be. The finance team wants to pay out as much as possible because of the critical nature of the

Question 1 continues on the next page...

research being funded; however, it understands that preserving the real value of the foundation's assets is equally important in order to preserve its future grant-making capabilities. You have been asked to assist the finance team in developing appropriate policies.

(a) Discuss the three key elements that should guide the UCT Covid-19 Research Foundation's grant-making (spending) policy. [6 marks]

(b) Formulate and justify an appropriate investment policy statement (IPS) for the UCT Covid-19 Research Foundation, in light of Dr Matafeni's donation of R500million to the foundation (include all relevant objectives, constraints, and the key elements identified in (a) above). [15 marks]

(c) Recommend and justify a long-term asset allocation strategy that is consistent with the IPS you crafted in part (b). Explain how your allocation's expected return meets the requirements of a feasible spending policy for the foundation. (Your strategic weight allocation should sum to 100% based on market and economic data summarized in the table below. However, you can use your understanding of historical economic and/market characteristics.) [15 marks]

Economic/market Characteristic	**Historic Averages**	**Intermediate Term Consensus Forecast**
South African Treasury bills	3.64%	4.2%
Intermediate-term South African T-bonds	5.2	5.8
Long-term South African T-bonds	9.4	7.7
South African corporate bonds (AAA)	5.5	8.8
Non- South African bonds (AAA)	N/A	8.4
South African equity (all)	12.1	9.0
South African equity (Mid- & Small)	9.0	12.0
Non- South African equity (all)	N/A	10.1
South African inflation	4.6	4.4

Your write-up should not exceed **2500** words. **Marks are for guidance**